

“spread the risk.” Because junk bonds are so sensitive to the performance of the economy, the coming depression will not simply affect the value of some of these bonds, which is what most investors consider a worst-case scenario, but will wipe out the entire class of assets.

PERSPECTIVE

The Elliott Wave Theorist recommended action in high yield bonds for the very first time on March 28, 1988. It was the first time that there was something to say about these investments, which had been valued quite consistently at “par” since they had grown from obscurity several years earlier into a multi-billion dollar market. Their yield above Treasury notes at the time was only 3.5%, reflecting a bullish complacency toward junk bonds and the economy. Here is that issue’s entire comment on these low-grade, high-yield debt instruments:

If you can figure out a way to short “junk” bonds, do it. This sector has rallied back to a small spread against T-bonds, and complacency is entrenched. A depression will wipe out the value of these bonds. No one reading this publication should be invested in junk bonds.

Three months later, in June, the market started down, slowly at first. In October, the slide began to accelerate. In April 1989, articles referred to trading sessions as involving “chaos,” “turmoil” and “panic.” In truth, they had seen nothing yet. As you can see in Figure 15-1, the last bounce worthy of the name ended in June 1989. That was wave 2 of (3), from which point junk bond prices crashed in the “third of the third” wave. Throughout the decline, analysts were baffled because the economy was still expanding, and there was “no reason” for the fall. The market, as always, was way ahead of events. The fall in junk bond prices was a flight from low quality in anticipation of an event that in fact did not occur until more than a year later, in the second half of 1990: a recession (which in some measures will probably prove to have been the start of the trend toward depression). *The Elliott Wave Theorist* figured out this fact a year in advance, commenting as follows in the August 18, 1989 issue:

Many professional economists have embraced the idea of an upcoming “soft landing,” i.e., that the Fed (yes, once again) has